

20230930-DK-BUTTERFLY-1, INC.	X	
	:	
	:	FMC Docket No. 25-01
	:	
Complainant,	:	
	:	
vs.	:	
	:	
BAL CONTAINER LINE CO., LIMITED,	:	
	:	
	:	
	:	
Respondent:	X	

Respondent Bal Container Line Co., Limited (“BAL”) submits this Opposition Brief (“Opposition”) in response to the Motion to Compel the Designation of BAL’s owners as Email Custodians (“Motion”) filed by Complainant 20230930-DK-Butterfly-1, Inc. (“BBBY”). BAL herewith submits the Declaration of Bryce Cullinane (“Cullinane Decl.”) in support.

First, BBY's Motion should be denied because: (1) **BBY has not established that BAL's owners, Cinda Li and Tim Xu¹ (a married couple), possess unique, personal, or non-duplicative information in their email accounts, not already captured in the email accounts of the nine BAL employee custodians** who handled the matters at issue in this case on a day-to-day basis (their emails with search term hits have been collected and are being produced); (2) Spousal privilege protects the communications between Ms. Li and Mr. Xu, such that BAL would need to review their emails for privileged materials, thus needlessly delaying the

- 1 -

timeline in this case², and; (3) Simply because BAL indicated in discovery responses that BAL's owners *may* possess *knowledge* regarding the issues in this case does not mean that BBY is entitled to rifle through their email accounts. There is simply no basis, beyond BBY's desire to put inappropriate litigation pressure upon BAL and access sensitive information regarding BAL's business, for the email accounts of the owners of BAL to be custodians in this matter, and BBY's request should therefore be denied.

Second, the Presiding Officer asked, in her order of September 15, 2025, that BAL provide an update regarding the status of document productions in response to her July 16, 2025 Order (the "Order") on BBY's Motion to Compel. BAL respectfully states that it has acted diligently since that order was issued. Indeed, since that Order was issued, the **undersigned counsel for BAL cleared his personal and professional schedule in order to travel from California to BAL's offices in Shanghai to ensure compliance with the July 16, 2025 Order**, and BAL has produced all bills of lading it could locate after a reasonable search that relate to the containers at issue in this case, all meeting minutes it could locate after a reasonable search that relate to the matters at issue in this case, and all screenshots of its booking system showing the containers at issue in this case that it could locate after a reasonable search. BAL also supplemented, with additional information, its responses to BBY's Interrogatories. Between July 16, 2025 and August 15, 2025, BAL produced **889 pages of documents** (not 654, as misrepresented by BBY). Almost all of these documents needed to be manually collected by BAL. It is important to note that **BBY's initial draft of the proposed ESI Protocol could not**

² In addition to reviewing for spousal privilege, BAL would also need to extensively review any documents pulled from the owners' accounts to assess whether any confidential financial or business information, such as financial statements or trade secrets are implicated. The owners of BAL are the owners of multiple companies in China, including a publicly-traded company. Counsel in China informs us that Chinese law has strict prohibitions against the disclosure of confidential financial information, especially regarding a company traded on the Hong Kong Stock Exchange, in any forum.

be reviewed or edited until the July 16, 2025 Order was issued because that Order settled the scope of discovery (and not beforehand, as BBBY disingenuously suggests). Since July 16, 2025 the Parties have worked to come to final terms under that ESI Protocol.

BAL anticipates producing the vast majority of the emails called for under the ESI Protocol this week. On the date of the filing of this Opposition brief, BAL is producing almost every document it could locate, in the email accounts of the nine BAL custodians, that contain any of the container numbers at issue in this case, in the years 2021 and 2022.³ This production consists of 2,783 documents. BAL does require a short extension on the current scheduling order deadlines, in order to complete ESI productions. The primary task involved is to manually review the documents which have been identified as potentially privileged. Therefore, BAL respectfully requests a 15-day extension of the current deadlines in this matter, to facilitate completion of the productions under the ESI Protocol (but BAL would need further time if BAL's owners' email accounts were added as custodians). This would mean that BAL's document production would be complete on September 30, 2025. Thereafter, BAL is ready to conduct depositions in the month of October and early November,⁴ and BAL has hired experts.

II. BAL HAS WORKED DILIGENTLY SINCE THE JULY 16, 2025 ORDER WAS ISSUED AND SEEKS A 15-DAY EXTENSION ON ALL CURRENT DEADLINES

After the Presiding Officer served the July 16, 2025 Order granting in part, and denying in part BBBY's Motion to Compel Production of Documents and Interrogatory Responses,

³ Potentially privileged documents are being withheld for manual review. Furthermore, documents that tend to show that they pertain to deliveries to Mexico, Canada, or New York, are also being withheld.

⁴ BAL wishes to make the Presiding Officer aware of the Golden Week Holiday taking place in China from October 1, 2025 through October 8, 2025, and BAL's local counsel's unavailability from October 14, 2025, through October 20, 2025. BAL believes that both the holiday and local counsel's unavailability will significantly impact BAL's ability to schedule its own employees for depositions in those dates. To the extent possible, BAL requests that the Presiding Officer consider this additional factor when determining the new deadline for completion of fact witness depositions.

counsel for BAL cleared his schedule (both personal and professional) and travelled from California to Shanghai to spend multiple days working with BAL to ensure compliance with the Order. Cullinane Decl., ¶ 2. On August 15, 2025 (the initial deadline set by the Order for BAL's production) BAL made a production to BBY of 889 pages, representing all bills of lading it could locate after a reasonable search that relate to the containers at issue in this case, all meeting minutes it could locate after a reasonable search that relate to the matters at issue in this case, and all screenshots of its booking system showing the containers at issue in this case that it could locate after a reasonable search. Cullinane Decl., ¶ 3.

On account of the fact that BBY and BAL needed further time to negotiate the proposed terms of the ESI Protocol, BAL requested (and BBY did not oppose) additional time from the Presiding Officer to agree upon and implement an ESI search protocol with BBY, which the Presiding Officer granted in the Second Revised Scheduling Order. (Dkt. 39). That revised scheduling order explicitly states: "Respondent requires additional time to collect, review, and produce responsive emails to Complainant. The parties also need to agree upon an ESI search protocol." That order was issued a little more than a month ago. Since then, BAL has worked with BBY to complete an agreed-upon ESI search protocol and produce documents thereunder. Cullinane Decl., ¶ 4. Multiple provisions in the initial BBY protocol fell outside the scope of discoverable material addressed in the Order, and counsel for BAL spent considerable time revising the protocol and suggesting revisions. Cullinane Decl., ¶ 5. Counsel for BAL provided a revised draft to BBY on August 22, 2025. Cullinane Decl., ¶ 6. After another round of revisions by counsel for both Parties, the Parties agreed on September 4, 2025 on all terms that would be used in the protocol (**less than two weeks ago**). Cullinane Decl., ¶ 7. At the same time, a dispute arose regarding whether BAL needed to include Cinda Li and Tim Xu in its custodian

list. *Id.* Counsel for BAL immediately suggested filing a joint brief before the Presiding Officer, directed towards resolution of this narrow issue, on an expedited basis, without the need for back and forth briefs. Cullinane Decl., ¶ 8. BBY initially expressed openness to BAL's streamlined idea, but ultimately refused when BAL requested a filing date for this joint request a mere one day after BBY's proposed joint filing date of September 10, 2025.⁵ Cullinane Decl., ¶¶ 8-9. The present Motion followed.

Concurrent with the above, BAL has been working to collect and search the email accounts of agreed-upon custodians. Keep in mind that BAL's headquarters and the vast majority of its employees are located in China, which causes collecting, transferring, and ingesting custodial email accounts off BAL's servers into a United States e-discovery platform to take longer than undertaking a similar process in the United States. Cullinane Decl., ¶ 10. Indeed, **collection of BAL's nine custodians (and ten associated email accounts) took more than two weeks to complete.**⁶ Cullinane Decl., ¶ 11.

BAL has identified responsive documents in the email accounts of the custodians, since they were ingested into the review platform on August 29, 2025. Today, BAL is producing

⁵ BAL's counsel believes that BBY decided against the filing of a joint and streamlined request to the Presiding Officer to decide the narrow issue of whether the owners of BAL should be included as custodians because BBY wanted the opportunity to allege false and disparaging accusations against BAL, in an effort to wrongfully prejudice the Presiding Officer against BAL.

⁶ BAL began collection of the nine custodians' accounts on August 14, 2025. Collection for each account took between 5 and 48 hours (depending on the amount of data in the account), and BAL's e-discovery vendor was limited in the number of accounts they could collect at once. BAL's vendor faced difficulty accessing the accounts of Parker Zhu, Terry Ye, and Qingzhi Liu due to BAL's two-factor WeChat authentication. Despite custodians turning the verification off locally, BAL's vendor could not access these accounts until August 17, 2025. BAL's vendor also faced challenges collecting the email account of Ivy Shao, which required BAL's vendor to restart the collection process multiple times. Because of these complications, BAL's vendor was not able to complete collection of all custodians' accounts until August 19, 2025.

BAL's vendor then began ingestion of the custodians' accounts into BAL's e-discovery platform. By August 26, 2025, BAL successfully ingested four custodial accounts: those associated with Cathy Sun, Angela Xu, Serena Gao and Mona Zhao. Ingestion of the remaining custodians required additional time. By August 29, 2025, all nine custodians (and their ten associated email addresses) were successfully ingested into the e-discovery platform.

almost every document it could locate, in the email accounts of the nine BAL custodians, that contain any of the container numbers at issue in this case, in the years 2021 and 2022.⁷

As mentioned, this production consists of 2,783 documents. BAL anticipates that by the end of this week it will have produced approximately 5,900 documents under the ESI Protocol.

BAL does require a short extension on the current scheduling order deadlines, in order to complete ESI productions. The primary task involved is to review the documents identified as potentially privileged. Therefore, BAL respectfully requests a 15-day extension of the current deadlines in this matter, to facilitate completion of the productions under the ESI Protocol (but BAL would need further time if BAL's owners' email accounts were added as custodians). This would mean that BAL's document production would be complete on September 30, 2025.

III.LEGAL ARGUMENT IN OPPOSITION TO MOTION TO COMPEL BAL'S OWNERS TO BECOME CUSTODIANS

A. COURTS ROUTINELY REJECT BARE-BONES REQUESTS FOR EMAILS FROM THE OPPOSING-PARTY'S HIGH LEVEL EXECUTIVES

Contrary to BBY's conclusory contentions otherwise, courts consistently reject efforts to force high-ranking executives (not to mention owners) to produce their emails and documents where the requesting party fails to show that the executive has "unique or personal knowledge of the subject matter." *See, e.g., BlackBerry Ltd. v. Facebook, Inc.*, 2019 WL 4544425 (C.D. Cal. Aug. 19, 2019) (refusing to allow search of CEO emails: "district courts . . . have limited production of a CEO's email when there was insufficient connection to the actual issues in dispute"); *Harris v. Union Pac. R. Co.*, 2018 WL 2729131, *4 (D. Neb. June 6, 2018) (refusing to compel production of CEO emails); *Lutzeier v. Citigroup Inc.*, 2015 WL 430196, *7 (E.D.

⁷ Potentially privileged documents are being withheld for manual review. Furthermore, documents that tend to show that they pertain to deliveries to Mexico, Canada, or New York, are also being withheld.

Mo. Feb. 2, 2015) (“Plaintiff has not satisfied his burden to show that these high level executives have unique or personal knowledge of the subject matter that warrants their information.”); *Tulip Comp. Intern. B.V. v. Dell Computer Corp.*, 2002 WL 818061, n.2 (D. Del. Apr. 30, 2002) (refusing to order production of CEO's emails, as plaintiff failed to establish CEO's involvement in case “was at a detailed level, such that discovery of his e-mail records would uncover [any] relevant documents”). In its Motion, BBY has made no showing that BAL’s owners have any unique or personal knowledge of the subject matters of this case, or were involved on a day-to-day basis in the issues at hand in this litigation. Furthermore, to the extent the BAL owners may have been involved in any of the subject matters at issue here (which remains to be seen), BBY will receive this information in the form of (1) emails sent to them by the BAL employee custodians, and (2) emails they may have sent to those custodians. As such, the Motion should be denied.

B. BBY HAS NOT MET ITS BURDEN OF DEMONSTRATING THAT BAL’S OWNERS POSSESS NON-DUPLICATIVE INFORMATION AND BAL HAS ALREADY INCREASED THE SIZE OF ITS CUSTODIAN LIST

A responding party is entitled to select the custodians most likely to possess responsive information. *Firefighters’ Ret. Sys. V. Citco Group Ltd.*, CV 13-373-SDD-EWD, 2018 WL 26941, at *4 (M.D. La. Jan 3, 2018). “Unless that choice is manifestly unreasonable or the requesting party demonstrates that the resulting production is deficient, the court should play no role in dictating the design of the search, whether in choosing search tools, selecting search terms, or . . . designating custodians.” *Mortgage Resolution Servicing, LLC v. JPMorgan Chase Bank, N.A.*, 15 CV 0293, 2017 WL 2305398, at *2 (S.D.N.Y May 18, 2017).

As the requesting party, BBY bears the burden of demonstrating that each additional custodian would provide “unique relevant information not already obtained” from the custodians BAL has already provided. *Fort Worth Emps.’ Ret. Fund v. J.P. Morgan Chase &*

Co., 297 F.R.D. 99, 107 (S.D.N.Y. 2013) (emphasis added); *see also Garcia Ramirez v. U.S. Immigration and Customs Enforcement*, 331 F.R.D. 194, 198 (D.D.C. 2019) (applying the “unique relevant information” standard for designating additional custodians); *In re EpiPen (Epinephrine Injection, USP) Mktg., Sales Practice and Antitrust Litig.*, No. 17-md-2785-DDC-TJJ, 2018 WL 1440923, at *2 (D. Kan. Mar. 15, 2018) (describing the “general principles” pertinent to a party's request to compel designation of disputed individuals as ESI custodians). BBBY has not met this burden, especially because **it cannot articulate how the owners of BAL would possess any information that BBBY will not already obtain from those on the front lines: The BAL employee custodians whose email accounts are being actively searched for responsive documents.**

BAL has already amended its custodian list once to accommodate BBBY’s discovery requests. On April 29, 2025 BAL provided BBBY with the names of five key custodians whose email accounts it would agree to search. Cullinane Decl., ¶ 12. In furtherance of the July 16, 2025 Order, BAL amended its list of key custodians on August 15, 2025 to add four additional BAL employees. Cullinane Decl., ¶ 13. At present, BAL’s custodian list encompasses ten accounts, associated with nine key custodians: Cathy Sun (BAL’s Equipment Control Director), Qingzhi Liu (BAL’s General Manager), Parker Zhu (BAL’s Assistant President), Serena Gao (BAL’s Key Client Manager), Zoe Zhou (BAL’s Marketing Director), Terry Ye (BAL’s Vice President), Angela Xu (BAL’s Shanghai Customer Service & Documentation Manager), Mona Zhao (BAL’s Ningbo Customer Service & Documentation Supervisor), and Ivy Shao (BAL’s Qingdao Customer Service & Documentation Supervisor). *Id.* These BAL employees represent those who *may have* communicated with intermediaries that shipped BBBY’s cargo, or handled,

on a day-to-day basis, the issues that presently form the controversy in this lawsuit. *Id.* BAL indicated as much in its amended responses to BBY's Interrogatories Nos. 5 and 6. *Id.*

BBY argues that BAL's owners must become custodians because BAL included them in its amended response to BBY's Interrogatory No. 7, which sought information related to detention and demurrage "decision-making authority". Mot. at 5. According to BBY, doing so somehow identifies the owners of BAL as "potential custodians of documents, communications, and information . . . clearly relevant to BBY's Shipping Act claims in this case" Mot. at 7. Yet, aside from these conclusory assertions, BBY has made no showing, let alone a particularized showing, that the custodians already provided by BAL are inadequate or that searching the email accounts of the owners of BAL would provide unique information not already being searched for and produced in the email accounts of Cathy Sun, Qingzhi Liu, Parker Zhu, Serena Gao, Zoe Zhou, Terry Ye, Angela Xu, Mona Zhao, and Ivy Shao. *See Fort Worth Emps.' Ret. Fund*, 297 F.R.D. at 107 (emphasis added); *see also Eisai v. Sanofi-Aventis U.S., L.L.C.*, 2012 WL 1299379, at *9 (D.N.J. Apr. 16, 2012) (denying motion to compel discovery from "additional . . . custodians" because defendants had already produced discovery from relevant custodians and "the additional production" would be "unreasonably cumulative," "duplicative," and "burden[some]" (citations and quotation marks omitted)); *Blackrock Allocation Target Shares: Series S Portfolio v. Bank of N.Y. Mellon*, 2018 WL 2215510, at *12 (S.D.N.Y. May 15, 2018) (denying plaintiff's request to designate additional custodians because the defendant "has produced or is producing" relevant documents from "[e]xisting [c]ustodians"). BAL has simply not shown that the email accounts of BAL's owners, on top of the front line employees, are called for in this case.

C. BBBY IS NOT ENTITLED TO LIMITLESS DISCOVERY

BBBY argues that it is entitled to discovery from BAL's owners simply because they are "within the universe of people" who may have relevant information to this case. Mot. at 7 (emphasis added). The Presiding Officer need not accept such an overly broad construction of the discovery standard, particularly as applied to BAL's owners. "[T]he right to even plainly relevant discovery is not limitless," especially where, as here, BAL has already identified nine "appropriate document custodians" in roles that are central to the issues in the litigation from which "relevant discovery" can be obtained. *Lauris v. Novartis AG*, 2016 WL 7178602, at *4 (E.D. Cal. Dec. 8, 2016) (**denying discovery from "apex custodians" where relevant documents would be produced by other custodians**).

Three of the nine custodians BAL has already provided—Cathy Sun, Terry Ye, and Parker Zhu—were included in BAL's amended response to BBBY's Interrogatory No. 7 as individuals with varying levels of "decision-making authority" regarding detention and demurrage, the very same interrogatory BBBY bases its present Motion upon. So, to the extent BBBY seeks information related to detention and demurrage, BAL is providing it. BBBY has not asserted that these custodians are inadequate. Accordingly, there is no basis to force BAL to include its owners in its list of custodians.

D. COMMUNICATIONS BETWEEN BAL'S OWNERS ARE SUBJECT TO SPOUSAL PRIVILEGE

In *Wolfe v. United States*, the United States Supreme Court held that the protection of confidential marital communications is "so essential to the preservation of the marriage relationship as to outweigh the disadvantages of the administration of justice which the privilege entails." 291 U.S. 7, 14 (1934). The Court ruled that private marital communications "are generally assumed to have been intended to be confidential, and hence they are privileged." *Id.*;

Blau v. United States, 340 U.S. 332, 333 (1951) (observing that “**marital communications are presumptively confidential**”); *United States v. Foresman*, 63 F. App'x 138, 140 (4th Cir. 2003) (“**It is well established that confidential marital communications are presumptively privileged.**”); *United States v. Poole*, 2011 WL 5008522, *6 (4th Cir. Oct. 20, 2011) (recognizing that marital communications are “**presumptively confidential**”).)

Here, as the owners of BAL are married, it will take counsel for BAL significant time to review their potentially responsive emails for privilege. Indeed, they are entitled to this protection. Given the already tight timeline in this case, such a delay for a review of privilege does not appear warranted (or frankly, beneficial) in this matter, and weighs in favor of denying BBY's request to have BAL's owners added as custodians in this case.

IV. CONCLUSION

For the aforementioned reasons, BAL respectfully requests that the Presiding Officer deny BBY's Motion to Compel the Designation of BAL's owners as Custodians. BAL further requests that the Presiding Officer grant its request for a limited extension of the Scheduling Order, as set forth above.

Respectfully submitted this 17th day of September, 2025.

THEODORA ORINGHER PC



BRYCE M. CULLINANE
CASB No. 307079
bcullinane@tocounsel.com
535 Anton Boulevard, Ninth Floor
Costa Mesa, California 92626-7109
Telephone: (714) 549-6200
Facsimile: (714) 549-6201

Attorneys for Respondent
BAL CONTAINER LINE CO., LIMITED

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 17th day of September, 2025, a true and correct copy of the foregoing **RESPONDENT’S OPPOSITION TO COMPLAINANT 20230930-DK-BUTTERFLY-1, INC.’S MOTION TO COMPEL DESIGNATION OF BAL’S OWNERS AS EMAIL CUSTODIANS** was served via electronic mail on:

Karl C. Huth

huth@huthreynolds.com

Matthew J. Reynolds

reynolds@huthreynolds.com

J. Zachery Morris

zmorris@huthreynolds.com

Gregory A. Crapanzano II

gcrapanzano@huthreynolds.com

Mohini P.B. Rarrick

mpriya@huthreynolds.com

/s/ Crystal McCarey_____

Crystal McCarey